

2. ARANA v. ALONZO, ET AL., 23CV0602**Plaintiff's Motion for Good Faith Settlement**

Pending before the court is plaintiff Christopher Arana's ("plaintiff") motion⁴ for good faith settlement under Code of Civil Procedure section 877.6.⁵ On June 5, 2026, defendant Urreaga, Inc. filed its timely opposition. On June 11, 2026, defendants Paul Windt and EXP Realty of California, Inc. filed their timely opposition. Also on June 11, 2026, defendant John Alonzo filed his timely opposition.

On June 18, 2026, plaintiff filed three separate, timely reply briefs, one directed to each opposition, as well as a declaration from defendant Josie Timmerman.

1. Evidentiary Objections

Defendant Urreaga objects to the following portions of Rafael Crespo's (plaintiff's attorney) declaration: (1) Paragraph 10; (2) Paragraph 13, lines 9 through 11; and (3) Paragraph 14, lines 19 through 21.

The court sustains the objection to Paragraph 10 because it is inadmissible hearsay. The court sustains the objection to Paragraph 13, lines 9 through 11 (regarding the estimated value of plaintiff's total damages) because it lacks foundation. The court sustains the objection to Paragraph 14, lines 19 through 21, because it contains inadmissible settlement negotiations.

⁴ Plaintiff's moving papers, filed April 16, 2026, include a document entitled, "Plaintiff Christopher Arana's Application for Order Confirming Good Faith Settlement Pursuant to Civil Code Section 877.6," as well as other references to the filings being part of an application. However, the filings were not served via certified mail or personal service, as would be required for an application for good faith settlement. (Code Civ. Proc., § 877.6, subd. (a)(2).) Instead, notice was given in accordance with Code of Civil Procedure section 1005, subdivision (b). (Code Civ. Proc., § 877.6, subd. (a)(1).) Also, attached to plaintiff's "application" is a memorandum of points and authorities in support thereof. The court construes plaintiff's filing as a motion for good faith settlement, as opposed to an application for good faith settlement.

⁵ Further undesignated statutory references are to the Code of Civil Procedure.

The court rules on defendants Windt's and EXP Realty's objections⁶ as follows:

1. Paragraph 10 – sustained.
2. Paragraph 9, Ex. 1 – overruled.
3. Paragraph 8 – overruled.
4. Paragraph 11 – overruled. Windt's and EXP Realty's own evidence indicates that Rinat Erlich represents defendant TAG Inspections ("TAG"). Ms. Erlich's statement that she is not counsel of record is not contradictory because TAG has not appeared in this case.
5. Paragraph 13 – sustained in part. The court sustains the objection to the estimated value of plaintiff's total damages due to lack of foundation.
6. Paragraph 14 – sustained.

2. Background

Plaintiff has agreed to settle his claim against TAG for \$10,000. To date, TAG has not been served and has not appeared in this action.

On March 30, 2022, plaintiff submitted an offer to purchase a home in South Lake Tahoe, California, from defendant John Alonzo ("Alonzo"). (Compl., ¶ 15.) On April 7, 2022, plaintiff entered into a written agreement with TAG for TAG to conduct a home inspection. (Crespo Decl., Ex. 1.) On April 7, 2022, defendant Josie Timmerman, acting on behalf of TAG, prepared a disclosure report. (Compl., ¶¶ 1, 16.)

Escrow closed on April 27, 2022. (Compl., ¶ 19.)

Plaintiff's real estate agent was defendant Paul Windt ("Windt") of defendant EXP Realty. (Compl., ¶¶ 6, 15.) The complaint alleges that, in deciding to purchase the home, plaintiff relied, in part, upon the following disclosure reports: (1) a report prepared on

⁶ The court lists the objections in the order presented by defendants with the corresponding Objection Numbers.

April 7, 2022, by defendant Josie Timmerman, who was acting on behalf of TAG;⁷ and (2) a report prepared on April 13, 2022, by defendant Thomas A. La Treille, who was acting on behalf of defendant Frontier Pest Control. (Compl., ¶¶ 1, 16.) Plaintiff later discovered that the property differed substantially from the representations made in the disclosure reports. (Compl., ¶ 2.)

The complaint asserts causes of action against Alonzo, Windt, and EXP Realty for concealment, intentional misrepresentation, negligent misrepresentation, violation of Civil Code section 1102, et seq. Plaintiff also claims breach of contract against Alonzo.

With respect to TAG and Frontier Pest Control, as well as its employees named in this action, the complaint alleges various claims of negligence, negligent misrepresentation, and fraud.

The complaint also alleges negligence against defendant Urreaga, Inc., the roofing company which performed work on the roof of the home.

Plaintiff's attorney declares there are numerous liability issues regarding plaintiff's case against TAG. The agreement between plaintiff and TAG contains a waiver of a consequential damages clause (requiring written notice of claim within 10 business days of discovery) and a choice of law clause, which identifies Nevada law as operative.

TAG is no longer in business. (Timmerman Decl., ¶ 1.) The former owner has retired and moved to Mexico. (Timmerman Decl., ¶ 2.) The former owner lives off of Social Security and has no other assets. (Timmerman Decl., ¶ 3.) The former owner does not have insurance coverage for plaintiff's claim. (Timmerman Decl., ¶ 4.)

Plaintiff's attorney estimates TAG's proportional liability is less than 10 percent of plaintiff's total damages. (Crespo Decl., ¶ 13.) The settlement was reached between plaintiff's counsel and Rinat K. Erlich, counsel for TAG, after extensive telephone

⁷ The declaration from plaintiff's attorney submitted in support of the instant motion states that plaintiff hired TAG to conduct a home inspection shortly after purchasing the property. (Crespo Decl., ¶ 6.)

negotiations. (Crespo Decl., ¶ 11.) The settlement was not reached through collusion or with any intent to harm or injure any existing or future defendant. (Crespo Decl., ¶ 11.)

3. Legal Principles

A good faith determination bars “any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (§ 877.6, subd. (c).) “A good faith settlement determination also reduces the claims against the nonsettling defendants in the amount stipulated by the settlement. (§ 877, subd. (a).)” (*Cahill v. San Diego Gas & Electric Co.* (2011) 194 Cal.App.4th 939, 959.)

The procedure for a good faith settlement determination is set forth in section 877.6, subdivision (a)(2). “Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors, upon giving notice in the manner provided in subdivision (b) of Section 1005.” (§ 877.6, subd. (a)(1).)

“The party asserting the lack of good faith shall have the burden of proof on that issue.” (§ 877.6, subd. (d).) Specifically, “[o]nce there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the non-settlor who asserts that the settlement was not made in good faith. [Citation.] If contested, declarations by the non-settlor should be filed which in many cases could require the moving party to file responsive counterdeclarations to negate the lack of good faith asserted by the non-settling contesting party.” (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261–1262.) “[T]he trial court’s consideration of the settlement agreement and its relationship to the entire litigation in a contested setting must proceed upon a sufficient evidentiary basis to enable the court to consider and evaluate the various aspects of the settlement.” (*Id.*, at p. 1263.)

In *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488 (*Tech-Bilt*), the California Supreme Court explained that in making a good faith settlement determination, a trial court should “inquire, among other things, whether the amount of the settlement is within the reasonable range of the settling tortfeasor’s proportional share of comparative liability for the plaintiff’s injuries.” (*Id.*, at p. 499.) *Tech-Bilt* explained, “the intent and policies underlying section 877.6 require that a number of factors be taken into account” in making this inquiry, “including a rough approximation of plaintiffs’ total recovery and the settlor’s proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. [Citation.] Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement. ‘[A] defendant’s settlement figure must not be grossly disproportionate to what a reasonable person, at the time of settlement, would estimate the settling defendant’s liability to be.’ ” (*Tech-Bilt*, at p. 499.) “When evaluating whether the parties reached a settlement in good faith, a trial court must examine not only the settling tortfeasor’s potential liability to the plaintiff, but also the settling tortfeasor’s potential liability to all nonsettling tortfeasors.” (*PacifiCare of Cal. v. Bright Medical Associates, Inc.* (2011) 198 Cal.App.4th 1451, 1465 (*PacifiCare*).) “[A] court not only looks at the alleged tortfeasor’s potential liability to the plaintiff, but it must also consider the culpability of the tortfeasor vis-à-vis other parties alleged to be responsible for the same injury.” (*TSI Seismic Tenant Space, Inc. v. Superior Court* (2007) 149 Cal.App.4th 159, 166.)

A party contesting the good faith of a settlement must “demonstrate ... that the settlement is so far ‘out of the ballpark’ in relation to” the factors identified by our

Supreme Court “as to be inconsistent with the equitable objectives of the statute.” (*Tech-Bilt, supra*, 38 Cal.3d at pp. 499–500.) “ ‘[A] “good faith” settlement does not call for perfect or even nearly perfect apportionment of liability. In order to encourage settlement, it is quite proper for a settling defendant to pay less than his proportionate share of the anticipated damages. What is required is simply that the settlement not be grossly disproportionate to the settlor’s fair share.’ ” (*PacifiCare, supra*, 198 Cal.App.4th at p. 1465.) “[E]ach case must be decided based on its particular circumstances and the trial court may consider its own judicial experience” (*Cahill, supra*, 194 Cal.App.4th at p. 968.)

“In the context of section 877.6, [t]he trial court is given broad discretion in deciding whether a settlement is in “good faith” for purposes of section 877.6, and its decision may be reversed only upon a showing of abuse of discretion.’ ” (*Cahill, supra*, 194 Cal.App.4th at p. 957.) “[T]here is no abuse of discretion requiring reversal if there exists a reasonable or fairly debatable justification under the law for the trial court’s decision or, alternatively stated, if that decision falls within the permissible range of options set by the applicable legal criteria.” (*Ibid.*) “ ‘On appellate review, a trial court’s determination of good faith of a settlement involving the resolution of factual issues will be upheld if supported by substantial evidence.’ ” (*Dole Food Co., Inc. v. Superior Court* (2015) 242 Cal.App.4th 894, 909.) “If ... there is no substantial evidence to support a critical assumption as to the nature and extent of a settling defendant’s liability, then a determination of good faith based upon such assumption is an abuse of discretion.” (*Toyota Motor Sales U.S.A., Inc. v. Superior Court* (1990) 220 Cal.App.3d 864, 871.)

4. Discussion

Having sustained objections to plaintiff’s counsel’s declaration regarding the estimated value of plaintiff’s total damages, the court finds that plaintiff has not set forth a sufficient evidentiary basis to establish the required *Tech-Bilt* factors. Without such showing, the burden of proof has not shifted to the non-settling parties to

“demonstrate that the settlement is so far ‘out of the ballpark’ in relation to” the factors identified by our Supreme Court “as to be inconsistent with the equitable objectives of the statute.” (*Tech-Bilt, supra*, 38 Cal.3d at pp. 499–500.)

Plaintiff’s motion is denied without prejudice.

TENTATIVE RULING # 2: PLAINTIFF’S MOTION FOR GOOD FAITH SETTLEMENT IS DENIED WITHOUT PREJUDICE. NO HEARING ON THIS MATTER WILL BE HELD (*LEWIS v. SUPERIOR COURT* (1999) 19 CAL.4TH 1232, 1247), UNLESS A NOTICE OF INTENT TO APPEAR AND REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT’S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 573-3042 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. NOTICE TO ALL PARTIES OF AN INTENT TO APPEAR MUST BE MADE BY TELEPHONE OR IN PERSON. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.